

transactions for a new block, adds a *nonce*, and executes a *cryptographic hashing function*. The *nonce* is varied, and the hashing continues. If miners “win” by finding a hash value that is very small, they receive a direct reward in newly minted cryptocurrency. The miner also earns an indirect reward, collecting fees for the transactions included in their block.

Miner extractable value. The profit derived by a miner. For example, miners could front run a pending transaction they believe will increase the price of the cryptocurrency (e.g., a large buy). Also known as *maximum extractable value*.

Mint. An action that increases the supply of tokens and is the opposite of *burn*. Often occurs when a user enters a pool and acquires an ownership share. Minting and burning are essential parts of non-collateralized *stablecoin* models (i.e., when stablecoin gets too expensive more are minted, which increases supply and reduces prices). Minting is also a means to reward user behavior.

Networked liquidity. The idea that any exchange application can lever the liquidity and rates of any other exchange on the same *blockchain*.

Node. A computer on a network that has a full copy of a *blockchain*.

Nonce. A counter mechanism for *miners* as they cycle through various values when trying to discover a rare *cryptographic hash* value. *Nonce* is derived from “number only once.”